

CONSOLIDATED STATEMENT OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME FOR THE YEAR ENDED 31 DECEMBER 2024

	2024 KShs'000	2023 KShs'000
Revenue	6,697,264	6,571,307
Cost of sales	(4,354,991)	(4,719,954)
Gross profit	2,342,273	1,851,353
Other income	355,101	171,205
Operating expenses	(1,616,759)	(1,666,349)
Profit before depreciation, impairment, contract liability expense and finance costs	1,080,615	356,209
Impairment losses	(76,501)	(451,038)
Depreciation and amortisation	(289,576)	(276,571)
Operating profit/(loss)	714,538	(371,400)
Exchange gain/(losses)	1,226,173	(1,491,150)
Interest expenses	(1,332,318)	(1,340,915)
Net finance costs	(106,145)	(2,832,065)
Profit/(loss) before income tax	608,393	(3,203,465)
Income tax expense	(28,434)	(27,747)
Profit/(Loss) for the year	579,959	(3,231,212)
Other comprehensive income		
Items that will not be reclassified to profit or loss		
Financial instruments at FVOCI – net change in fair value	1,007	(906)
Re-measurement gain on retirement benefit plan	219	8,483
Deferred tax effect	(66)	(2,545)
Revaluation of property, plant and equipment and prepaid operating lease rental	(551,355)	-
	(550,195)	5,032
Exchange differences on translation of foreign subsidiaries	2,152,741	(1,230,045)
Total other comprehensive income net of income tax	1,602,546	(1,225,013)
Total comprehensive income for the year	2,182,505	(4,456,225)
Profit/(Loss) after tax is attributable to:		
Equity holders of the company	601,786	(3,076,078)
Non-controlling interest (NCI)	(21,827)	(155,134)
Profit/(Loss) for the year	579,959	(3,231,212)
Total comprehensive income for the year is attributable to:		
Equity holders of the company	2,337,085	(4,418,155)
Non-controlling interest	(154,580)	(38,070)
Total comprehensive income for the year	2,182,505	(4,456,225)
BASIC AND DILUTED EARNINGS PER SHARE (KShs)	0.53	(2.73)

CONSOLIDATED STATEMENT OF FINANCIAL POSITION AS AT 31 DECEMBER 2024

	2024 KShs'000	2023 KShs'000
ASSETS		
Non-current assets	6,615,367	8,362,917
Current assets	4,151,709	5,004,461
TOTAL ASSETS	10,767,076	13,367,378
EQUITY AND LIABILITIES		
Capital and reserves		
Share capital	564,014	564,014
Share premium	2,324,784	2,324,784
Revenue reserves	(15,745,098)	(17,276,317)
Translation reserve	(2,180,440)	(3,586,560)
Fair value reserve	(40,549)	(41,556)
Revaluation reserve	2,021,557	2,622,818
Non-controlling interest	135,787	290,367
Non-current liabilities	2,796,595	3,931,298
Current liabilities	20,890,426	24,538,530
TOTAL EQUITY AND LIABILITIES	10,767,076	13,367,378

CONSOLIDATED STATEMENT OF CASHFLOWS AS AT 31 DECEMBER 2024

	2024 KShs'000	2023 KShs'000
Cash used in operations	(782,051)	(174,516)
Income tax paid	(199,213)	(126,905)
Net cash flows from investing activities	332,727	148,024
Net cash flows from financing activities	372,590	361,018
Net increase in cash and cash equivalents	(275,947)	207,625
Cash and cash equivalents at 1 January	317,826	110,205
Cash and cash equivalents at 31 December	41,879	317,826

CONSOLIDATED STATEMENT OF CHANGES IN EQUITY FOR THE YEAR ENDED 31 DECEMBER 2024

	Share capital KShs'000	Share premium KShs'000	Revenue and other reserves KShs'000	Non-controlling interest KShs'000	Total equity KShs'000
Balance at 1 January 2024	564,014	2,324,784	(18,281,615)	290,367	(15,102,450)
Profit for the year	-	-	601,786	(21,827)	579,959
Total other comprehensive income	-	-	1,735,299	(132,753)	1,602,546
Balance at 31 December 2024	564,014	2,324,784	(15,944,530)	135,787	(12,919,945)

CONSOLIDATED STATEMENT OF CHANGES IN EQUITY FOR THE YEAR ENDED 31 DECEMBER 2023

	Share capital KShs'000	Share premium KShs'000	Revenue and other reserves KShs'000	Non-controlling interest KShs'000	Total equity KShs'000
Balance at 1 January 2023	187,601	1,873,089	(14,266,287)	328,437	(11,877,160)
Loss for the year	-	-	(3,076,078)	(155,134)	(3,231,212)
Total other comprehensive income	-	-	(1,342,077)	117,064	(1,225,013)
Total transactions with owners of the company	376,413	451,695	402,827	-	1,230,935
Balance at 31 December 2023	564,014	2,324,784	(18,281,616)	290,367	(15,102,450)

NOTES TO THE AUDITED SUMMARY CONSOLIDATED FINANCIAL STATEMENTS

Overview of FY2024 Performance

TransCentury PLC ("TC" or the "Group") is delighted to present its audited financial results for the year ended 31st December 2024, reflecting a year of robust performance and strategic progress that underscores our commitment to delivering sustainable value for our shareholders.

The Group continued its revenue growth momentum, driven by strategic capital allocation, steady demand across our core business segments, as well as market deepening initiatives. This is despite a very difficult operating environment compounded by adverse lender actions.

Improved business operations continued to give us better results, most notably, gross profit soared by 27%, propelled by enhanced cost efficiencies and a strategic focus on high-margin products. This strong performance coupled with benefits from our continued balance sheet improvements translated into an operational profit of KShs 715 million from a loss of KShs 371 million in 2023, a testament to our disciplined operational enhancements, including a 3% reduction in operating expenses.

Further bolstering our financial position, the Group capitalized on favourable foreign exchange dynamics and better foreign currency exposure management contributing to significant foreign exchange gains. These achievements reflect TransCentury's unwavering focus on operational excellence, improved financial management and strategic topline growth.

Most impressively, the Group delivered a remarkable turnaround, recording a profit after tax of KShs 580 million for the year, from a loss of KShs 3.2 billion in 2023.

We remain committed to driving innovation, optimizing our portfolio, and delivering long-term value to our shareholders as we build on this strong foundation for future success.

Subsidiary Performance Highlights

East African Cables PLC

East African Cables PLC recorded a stronger performance in the year, with Group and Company growing revenues. Group EBITDA in the year also improved to KShs 179 million from a loss of KShs 20 million in 2023, driven by new products, market expansion, and cost efficiencies.

Tanelec Limited

Tanelec Limited, delivered a strong performance in the year with revenue growth driven by focusing on innovative products and expansion into new markets, including Ethiopia, Mozambique, and the DRC. The company improved its gross margin and recorded a 13% surge in EBITDA. Tanelec remains focused on innovative engineering solutions, diversifying across the value chain and regional market expansion to sustain its growth trajectory.

AEA Limited

AEA Limited achieved a notable 37% revenue increase in the year, fuelled by the successful completion of niche regional projects and key installations across agriculture, energy, and industrial sectors. Despite challenges with constrained access to working capital, the company demonstrated resilience with a 54% improvement in EBITDA from the prior year. AEA remains optimistic about its future, focusing on a strong project pipeline and reinforcing its leadership in specialized infrastructure solutions across the region to drive sustainable growth.

Dividends

The Board does not recommend payment of dividends.

Outlook

The Board and Management are happy to highlight the Group's return to profitability. The Group is poised for a promising 2025, capitalising on the momentum built over the turnaround period. Guided by our strategic framework (Ahidi +32%), we are confident in sustaining this momentum through disciplined execution of our strategic initiatives and alignment with the region's economic landscape.

The Group will continue to drive sustainable top line growth, optimizing costs, enhancing capital allocation and advancing innovative cash flow management.

Our focus for 2025 will also include further internal restructuring to strengthen our balance sheet, optimize capital and debt structures and divestiture from non-core assets.

In addition, we will continue to actively engage stakeholders for their support, as well as capitalize on improved investor confidence to accelerate sustainable value creation.

By Order of the Board

Virginia Ndunge
Company Secretary
27 May 2025

REPORT OF THE INDEPENDENT AUDITOR ON THE SUMMARY CONSOLIDATED FINANCIAL STATEMENTS

The summary consolidated financial statements, which comprise the summary consolidated statement of financial position as at 31 December 2024, the summary consolidated statement of profit or loss and other comprehensive income, summary consolidated statement of changes in equity and summary consolidated statement of cash flows for the year then ended, and related notes are derived from the audited consolidated financial statements of TransCentury Plc for the year ended 31 December 2024. In our opinion, the accompanying summary consolidated financial statements are consistent, in all material respects, with the audited consolidated financial statements, in accordance with the Kenyan Companies Act and the Capital Markets (Securities) (Public Offers, Listing and Disclosures) Regulations, 2023

Summary consolidated financial statements.

The summary consolidated financial statements do not contain all the disclosures required by the International Financial Reporting Standards and in the manner required by the Kenyan Companies Act, 2015. Reading the summary consolidated financial statements and our report thereon, therefore, is not a substitute for reading the audited consolidated financial statements and our report thereon.

The audited consolidated financial statements and our report thereon.

We expressed an unqualified audit opinion on the audited consolidated financial statements in our report dated 27th May 2025. That report also includes.

- A material uncertainty related to Going concern draws attention to Note 2(f) to the consolidated and separate financial statements, which indicates that during the year ended 31 December 2024, the Group and Company realised a profit of KShs 580 million and KShs 712 million respectively and as of that date, the Group's and Company's current liabilities exceeded its current assets by KShs 16,739 million and KShs 7,587 million respectively and the Group's and Company's total liabilities exceeded their total assets by KShs 12,920 million and KShs 3,805 million respectively. In addition, as at 31 December 2024, the Group and Company had outstanding loans of KShs 9,868 million and KShs 4,477 million respectively for which they had breached the loan covenants with the lenders. As stated in Note 2(f), these events or conditions, along with other matters as set forth in Note 2(f), indicate that a material uncertainty exists that may cast significant doubt on the Group's and Company's ability to continue as a going concern. Our opinion is not qualified in respect of this matter.
- The communication of other key audit matters. Key audit matters are those matters that, in our professional judgement, were of most significance in our audit of the consolidated financial statements of the current period.

Directors' responsibility for the summary consolidated financial statements.

The directors are responsible for the preparation of the summary consolidated financial statements in accordance with Kenyan Companies Act, 2015 and the Capital Markets (Securities) (Public Offers, Listing and Disclosures) Regulations, 2023

Auditors' responsibility

Our responsibility is to express an opinion on whether the summary consolidated financial statements are consistent, in all material respects, with the audited consolidated financial statements based on our procedures, which were conducted in accordance with International Standard on Auditing (ISA) 810 (Revised),

The Engagement Partner responsible for the audit resulting in this Report of the independent auditor on the summary consolidated financial statements is CPA Elvis Ogeto- Practicing Certificate No. 2303

For and behalf of RSM Eastern Africa LLP
Certified Public Accountants
Nairobi
27 May 2025